Information and Communication Technology on Financial Management.

Financial Management is one of the important key functions in a Company which has a great impact on the Success of the Company. This is concern with the acquisition, financing and management of asset with some overall goals in mind. Its decision includes areas such as Investment Financing and asset management decision.

ICT has the ability to enhance, coordinate and control the operations of many organization and can also increase the use of Financial management.

ICT are based on data processing use to store, retrieve, transmit and manipulate data in short period of time. IT development have change many business process.

Impact of information technology in Financial Management

1. Forcasting Financial Requirements
This is very essential in every business. This enables the company to look ahead and see what would be best to do in order to increase the profit and wealth of the business. The financial manager should estimate how much finance will be used to acquire fixed asset and how finance will be used for the working capital. Fixed asset are for long term scale while working capital is for short term.

Planning and budgeting software also help financial managers simplify their work with the element of time, projected income, cost and expenses, financial manager can predict probable business profit or losses.

(2) Acquiring necessary Capital.
With the help of information technology obtaining of financial resources can be easy. The management may plan to offer stocks to the public which can be done online. They may also ~~want~~ acquire loans from bank. The Internet allows continuous access to credit sources and credit rating of companies to all creditors, insurance companies and business.

(3) Investing Fund.
With the help of IT application in evaluating investment, financial managers can get the rate of return of each investment proposal. It is possible to project the income that an investment can provide within a period of time. These data will be useful in making the decision on whether to accept or reject the investment proposal.

(4) Cash management
In instant clicks ~~of~~ a financial management data regarding current cash balances can be seen ~~immediately~~ immediately. This help the financial manager manage the cash at hand and at bank. These can be seen from the ~~company~~ generated reports resulting from the ~~company~~ company's financial transactions. Furthermore, cash in bank can also be seen immediately in their reported online unofficial bank statement.

Cash management principles state that a business must expedite cash collection and it must prolong cash disbursements. Creating online billings and promoting cash discounts is an ~~effective~~ an early payments of account receivables is an effective method to expedite cash collections. Creating online credit and debit card payment options, wire transfers and fast cash can also help.

5 Interrelation with other departments

IT communication tool can also be helpful to the financial managers. He must connects with the different departments to coordinate the cost and expenses that each department incurs, mobile phones, emails, faxes and other technological tools can help transfer financial data from one person to another in an instant. However any other receipt must be forward to the office of the controller or the accounting department for financial recording purposes..

Corporate Strategy

Chandler 1962 defines strategy as the determination of the basic long term goals and the objective of an enterprise and the adoption of courses of action and the allocation of resources necessary for carrying them out.

Peter Druckers define strategy as a pattern of activities that seek to achieve the objective of the organization and adopt its scope, resources and the operations to environmental changes in the long run.

Johnson, Scholes and Whittington (2010) defines strategy as the direction and scope of an organization over the long term which achieve competitive advantage in a changing environment through its configuration of resources and competencies with the aim of fulfilling the shareholders expectation.

The three Levels of strategy

According to Johnson, Scholes and Whittington there are three levels of strategy

(a) Corporate strategy
(b) Business strategy
(c) Functional or operational strategy.

Corporate strategy: This is the general direction of the whole organization. It tries to answer questions such as:

What business ~~are~~ should we be in? / not in?
Which industry can we go?
What market can we go into?

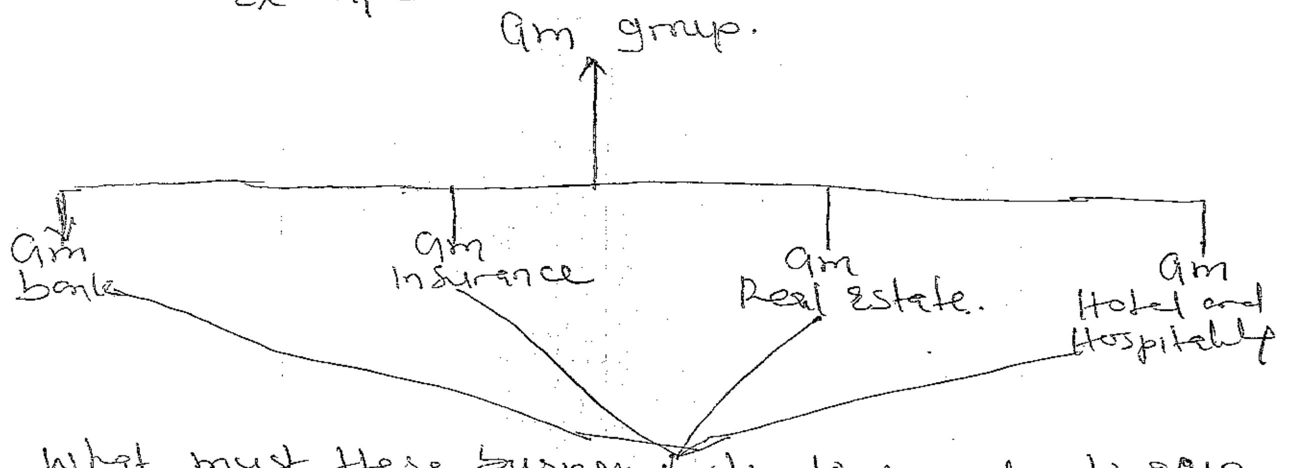
entire direction

Corporate strategy has some element

* It includes deciding the purpose of the entity i.e why are we existing, why do we establish the company in the first place.

* Deciding the scope of the entity activities i.e (2)
what kind of activities can we undertake,
what is the reach of activities we can undertake
* Matching the activities with the external environment and also its available resources
- What is the available opportunity
- What threat is the business expected to face
- What is our strategic capacities i.e available resources that we have as a company
- Matching the purpose and activities of the organization with the expectation of the owners
- Matching the activities and the expectations of the organization with the expectation of other stakeholders.

Business | Competitive Strategy.
This is concerned with how each strategic business unit within the entity contribute towards the achievement of the corporate strategy i.e how these unit tackles a particular market in other to gain competitive advantage.
Example.



What must these business units do in order to gain competitive advantage in their respective businesses industry or market.
Some of these strategies might include to
~~be a cost leader~~
Gm bank might want to be the lowest cost provider in terms of giving loans to its customers or a
(2) differential strategy i.e giving loan a higher interest rate. If the base rate is 11%, Gm bank can decide to give as 17% plus business consultant

(3) dedicated to you, advise you how to develop and grow your business.

Functional or operational strategy
This refers to specific strategy for different department of the business.
i.e what strategy must these business take into consideration or implement so that they can achieve their objectives as various department by gaining competative advantage so that the corporate objective can be achieved.
i.e the various department in the Gm bank Gm insurance, Gm Hostel & real estate must put a strategy in place so as to help the whole business unit.

LONG TERM STRATEGIC PLANNING.
A long-term strategy is a comprehensive plan for a business that defines goals for the future. During this process, you are setting and completing goals to achieve an overarching goal for the company.
To creat a long-term strategy, you may set multiple smaller goals that help you meet your ultimate objectives. The purpose of a long term strategy is to see gradual improvement within your company over a long term period. long time strategies typically take at least one year to achieve, though you can also set plan for several years ahead.

A long term strategy could encompasses one goal or multiple goals and can be broader or specific. for example you can make a long term strategy to increase overall ~~company~~ customer service, which is relatively broad goal
Examples of long term strategies include

(2) — Increase brand awareness
— lower the cost of production by 5%
— Host four promotional events a year

- Open two more locations within three years
- Increase total income of the company by 15%

Organizational that are not well planned ~~one~~ may be faced with serious consequency.

LEVELS OF STRATEGIC PLANNING

Planning is a hierarchical activity linking strategic planning at the top ~~bottom~~ with detailed operational planning at the bottom. Strategic plans set a framework and guidelines within which more detailed plans, and shorter term planning decisions, can be made.

R.N Anthony (1965) identified three levels of planning within an organization.

(a) Strategic planning:

This involves identifying the objectives of an entity, and plans for achieving those objectives, mostly over the longer term. Strategic plan includes corporate strategic plans business strategic plans and functional strategic plans.

(b) Tactical planning

These are short term plans for achieving medium term objectives. An example of tactical planning is the annual budget. Budget and other tactical plan could be seen as step towards the achievement of longer term strategic objectives.

(c) Operational planning

This is a detailed planning of activities, often at a supervisory level or junior management level, for the achievement of short term goals and targets. For example a supervisor might divide the workload between several employees in order to complete all the work before the end of the day.

Financial strategy

Financial Strategy is a component of the over all Corporate strategy of an organization. Financial strategy is an area of strategy which Falls within the scope of Financial management including decisions relating to the sources from which the funds are obtained and the amount to be paid out as dividend by the Company.

Corporate planning and Budgeting

A business needs to have both a strategic plan and a budget. The strategic plan lays out the direction and goals of a business and guidelines for actions to achieve those goals while the budget looks at the money needed to support achieving those goals. Budgeting is only one part of the strategic planning process.